

INTRODUCING FINANCIAL ACCOUNTING

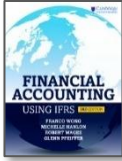
RSM219: INTRODUCTION TO FINANCIAL ACCOUNTING

CLASS NOTES

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WELCOME



FOUNDATIONS

Class 1
Introducing financial accounting

Class 2
Conceptual framework

Class 3
Analysing transactions (1/2)

Class 4
Analysing transactions (2/2)

ANALYSIS

Class 5
Reporting and analysing cash flows

Class 6
Analysing and interpreting financial statements

OPERATIONS

Class 7
Revenues & receivables

Class 8
Inventories and current liabilities

INVESTING & FINANCING

Class 9
Long-term operating assets

Class 10
Financial investments

Class 11
Debt and equity
Course review

CLASSWORK (~ 5 to 8 hours)

BEFORE CLASS (~ 1 hour):

- ☐ (20 min) Preview the learning outcomes and this workbook.
- ☐ (30-40 min) Prepare “draft” answers to the exercises in this workbook ([purchase the textbook](#) and scan Chapter 1). Be ready to discuss your ideas (and prepare your questions).

CLASS (~ 2 hours):

- ☐ Attend the lecture and ask clarifying questions.

AFTER CLASS (~ 1 to 3 hours):

- ☐ (10-30 min) Debrief the key concepts and workbook notes.
- ☐ (30-90 min) Work through the practice questions/problems.
- ☐ (30-90 min) Clarify remaining topics by reading the textbook and posting any remaining questions to [discussion board](#).

TUTORIAL (~ 1 hour):

- ☐ (60 min) Attend the tutorial session and clarify remaining questions. There are no tutorials in the first week of classes. Your first tutorial will be held on either Thursday Sep. 17 or Friday, Sep. 18 (see the syllabus for full schedule).

ONGOING WORK (~ 1 hour)

- ☐ (15-30 min) Complete the Weekly Assignment on [Quercus](#).
- ☐ (15-30 min) Complete the Planning for Success: Introduction and Goal-Setting Exercise (3%) on [Quercus](#).

LEARNING OUTCOMES (LOs)

READINGS: Ch. 1 (pp. 4-17, 20-24)

- ☐ LO 1 | Identify the users of accounting information and discuss the costs and benefits of disclosure. (pp. 4-7)
- ☐ LO 2 | Describe a company's business activities and explain how these activities are represented by the accounting equation. (pp. 7-11)
- ☐ LO 3 | Introduce the four key financial statements including the balance sheet, income statement, statement of changes in equity, and statement of cash flows. (pp. 11-17)
- ☐ LO 4 | Discussed in Class 2
- ☐ LO 5 | Compute two key ratios that are commonly used to assess profitability and risk - return on equity and the debt-to-equity ratio. (pp. 20-24)
- ☐ LO 6 | Discussed in Class 2

READINGS: Ch. 12 (pp. 545-550) – FOR NEXT CLASS

- ☐ LO 1 | Prepare and analyse common-size financial statements. (pp. 545-550)

* We will be using PDF workbooks in class. You can print them out, or make sure you have a way to mark them up. You may want to consider using software like OneNote, [DrawboardPDF](#), etc.

COURSE OUTLINE

**PREPARATION: RSM219 Course Outline**

REFLECT: Review the course outline and the Quercus page. Prepare your questions/notes.

“You have to **understand accounting**, and you have to understand the nuances of accounting. It’s the **language of business...**”



“The one thing I’d recommend is that you **take all the accounting courses that you can find**. You know, accounting is the language of business, and there’s nothing like getting it early and getting it into your system. So, **whenever you get a chance to take an accounting course – jump on it.**

It will make it so much easier for years and years to come in reading financial statements – to get comfortable with it. Because it is a language all of its own and getting comfortable in a foreign language takes a little experience, a little study, early on, but **it pays off big later on.**”

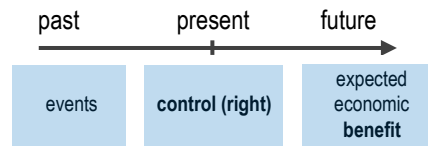
CONTEXT OF FINANCIAL REPORTING

#1 | Accounting is a “language”. We use it to tell “stories”. These stories matter.



KEY CONCEPT:

Assets are present economic resources controlled by the organization. They are based on past events and are expected to provide future economic benefits.



EXERCISE 1.1: Evaluating financial health and prospects (assets)

Consider the selected financial information for three companies below: A, B, and C.

REFLECT: In your opinion, which company has the best financial health and best prospects?

Balance Sheet items, as at:	Company A	Company B	Company C
Assets	116,371	12,875	713

Consider the following insights:

- ☐ It is difficult to assess the financial health and prospects given such limited information.
- ☐ It appears that Company A is “biggest”, as it has most assets
 - Given the most assets, it would be reasonable to expect that Company A would also have higher “revenues” or “sales” in a particular period
 - Given the most assets, it would also be reasonable to expect that Company A would also have the highest “costs” relating to those assets (e.g., maintaining the physical assets, etc.)

What are some examples of “assets”? Consider the following:

- ☐ Cash
- ☐ Inventories (items to sell)
- ☐ Land, buildings, equipment
- ☐ Intellectual property (patents, copyrights, trademarks)
- ☐ Other examples...
- ☐ Start thinking about whether the following meet the definition: “brand” loyalty and relationships with customers, relationships with suppliers, and people (e.g., skills quality of management and employees)

To assess the financial health and prospects, we would also want to know the following:

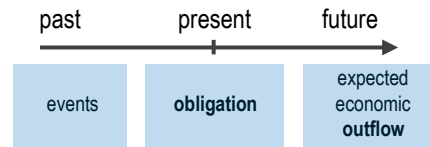
- ☐ What currency are these amounts reported in (e.g., \$ USD vs. \$ CAN vs. Euro vs. Peso, etc.)?
- ☐ Are these amounts reported on the same basis (e.g., in millions, thousands, etc.)?
- ☐ Are these amounts reported on the same date? What dates do they represent?
- ☐ What are the specific assets for each company?
- ☐ How were these assets “financed”? Where did the money come from?
- ☐ What does each company do? How old are the companies? What are their plans and strategies for the future?

ADDITIONAL CONSIDERATIONS:

- ☐ We could consider similar questions when assessing our “personal financial health” and prospects:
 - What might be some “assets” on your “personal balance sheet”?
 - How are these financed?
 - How might they change over time?

**KEY CONCEPT:**

Liabilities are present obligations for future economic outflows (sacrifice). These obligations are based on past events.

**EXERCISE 1.2: Evaluating financial health and prospects (assets and liabilities)**

Consider the selected financial information for three companies below: A, B, and C.

REFLECT: In your opinion, which company has the best financial health and best prospects?

**KEY CONCEPT:**

Balance sheet items like assets and liabilities are reported at a "point in time" (on a particular date).

KEY CONCEPT:

Fiscal year is the chosen annual reporting period. It may be based on calendar months or a 52/53-week period.

(USD \$, in millions)	Company A	Company B	Company C
Balance Sheet items, as at:	Sep. 24, 2011	Feb. 26, 2011	Dec. 31, 2011
Assets	116,371	12,875	713
Liabilities	39,756	3,937	489

What are some examples of "liabilities"? Consider the following:

- ☐ Loans and other borrowed amounts
- ☐ Amounts owed to suppliers for goods delivered but not paid (also called "accounts payable")
- ☐ Amounts owed to customers for cash collected but work that is not done (also called "unearned revenue")
- ☐ Other examples...
- ☐ In the future, we will also consider the possible/probable losses relating to lawsuits, warranty obligations, etc.

Consider the following insights:

- ☐ Notice that each company has chosen a different fiscal year end. Possible reasons for these differences could include easier alignment with operating cycles, administrative convenience, and industry practice.
- ☐ Company A is the "biggest" by far. We could expect it to also have highest revenues (sales) and expenses.
- ☐ Each company has significant liabilities, and the proportion (or "ratio") of assets and liabilities is different for each company. For example, Company C has the highest proportion of liabilities relative to its assets
- ☐ Assets tell us about the resources available. Liabilities and equity tell us about how those assets are "financed" (or who has the claims to those assets).
- ☐ Other

To assess the financial health and prospects, we would also want to know the following:

- ☐ How did the assets, liabilities, and equity change over time? What are the reasons for these changes? What are the trends?
- ☐ What might the future hold?

ADDITIONAL CONSIDERATIONS:

- ☐ We could consider similar questions when assessing our "personal financial health" and prospects:
 - o What might be some "liabilities" on your "personal balance sheet"?
 - o How might the mix between assets, liabilities and "equity" (or "net worth") change over time?

**KEY CONCEPT:**

Equity (or “net assets”) is defined as a residual: assets – liabilities.

KEY CONCEPT:

Assets are financed either by

- 1) liabilities (claims by “creditors” including lenders like banks) or,
- 2) equity (claims by “shareholders” or “owners”).

**EXERCISE 1.3: Company A (assets, liabilities, and equity)**

REFLECT: What is the “story” of Company A between 2011 and 2015? How would you evaluate the financial health and prospects for the company? Be concise.

COMPANY A (USD \$, in millions)					
Balance Sheet, as at:	Sep. 26, 2015	Sep. 27, 2014	Sep. 28, 2013	Sep. 29, 2012	Sep. 24, 2011
Assets	290,345	231,839	207,000	176,064	116,371
Liabilities	170,990	120,292	83,451	57,854	39,756
Equity = Assets – Liabilities	119,355	111,547	123,549	118,210	76,615
Total liabilities and equity	290,345	231,839	207,000	176,064	116,371
<i>Liabilities as % of assets</i>	59%	52%	40%	33%	34%
<i>Equity as % of assets</i>	41%	48%	60%	67%	66%

CONSIDER THE FOLLOWING:

- ☐ Assets grew, but liabilities increased faster. As a result, more of the assets were financed by liabilities over time. Equity balance peaked in 2013 and decreased in 2014. Is this good? Bad? We will find out more...

ADDITIONAL CONSIDERATIONS:

- ☐ Why would assets and liabilities be increasing?
- ☐ Why is equity relatively stable from 2012 to 2015?

NOTE: Fiscal vs. Calendar Year

Apple chooses to close its **fiscal year** on the last Saturday of September, whereas a **calendar year** always ends on 31 December (365 or 366 days).

- A regular retail fiscal year is **52 weeks = 364 days**, which is **one day shorter** than an ordinary calendar year—and two days shorter in a leap year. As a result, the fiscal-year-end date shifts one day earlier each year (or two after a leap year).
- Every five-or-so years Apple adds a 53-week fiscal year (371 days) to push the date back to that last Saturday and reset the drift.

How this shows up in recent fiscal-year ends:

- **24 Sep 2011** – regular 52-week fiscal year.
- **29 Sep 2012** – 53-week fiscal year (this is a leap year, and extra week realigns the date).
- **28 Sep 2013** – back to 52 weeks, one day earlier.
- **27 Sep 2014** – 52 weeks, one day earlier again.
- **26 Sep 2015** – 52 weeks, one day earlier once more.

Thus, the shifting dates reflect Apple’s **fiscal-year length**, not a change in the calendar year itself.

**EXERCISE 1.4: Company A (key balance sheet and income statement items)**

REFLECT: What is the “story” of Company A between 2011 and 2015? How would you evaluate the financial health and prospects for the company? Be concise.

COMPANY A

(USD \$, in millions)

Balance Sheet, as at:	Sep. 26, 2015	Sep. 27, 2014	Sep. 28, 2013	Sep. 29, 2012	Sep. 24, 2011
Assets	290,345	231,839	207,000	176,064	116,371
Liabilities	170,990	120,292	83,451	57,854	39,756
Equity = Assets – Liabilities	119,355	111,547	123,549	118,210	76,615
Total liabilities and equity	290,345	231,839	207,000	176,064	116,371
<i>Liabilities as % of assets</i>	59%	52%	40%	33%	34%
<i>Equity as % of assets</i>	41%	48%	60%	67%	66%

**KEY CONCEPT:**

Income statements report financial performance for a period of time (e.g., for entire fiscal year).

Net income is also called “net profit”, “bottom line” or “**earnings**”.

KEY CONCEPTS:

Revenues (price x quantity) are also called “sales” or “top line”.

Cost of sales (sometimes “cost of goods sold”) includes all costs directly attributable to producing a product or delivering a service.

Gross profit = revenues – cost of sales

COMPANY A

(USD \$, in millions)

Income statements for fiscal years ended:

	Sep. 26, 2015	Sep. 27, 2014	Sep. 28, 2013	Sep. 29, 2012	Sep. 24, 2011
Revenues	233,715	182,795	170,910	156,508	108,249
- Cost of sales	140,089	112,258	106,606	87,846	64,431
= Gross profit	93,626	70,537	64,304	68,662	43,818
- Other expenses, net	40,232	31,027	27,267	26,929	17,896
= Net income, or EARNINGS	53,394	39,510	37,037	41,733	25,922
<i>Gross profit as % of revenues</i>	40%	39%	38%	44%	40%
<i>Net income as % of revenues</i>	23%	22%	22%	27%	24%

CONSIDER THE FOLLOWING:

- ☐ Revenues (or “sales” or “top line”) grew steadily and significantly. In fact, revenues more than doubled over the period of 5 years. This was a very positive trend.
- ☐ Expenses grew significantly but remained largely in line as a percentage of revenues.
- ☐ Net income (or “net profit” or “bottom line” or “EARNINGS”) grew significantly and remained steady as a % of revenues. This is a very healthy and positive trend.

“STORY”:

- ☐ Company A is clearly a growing and healthy company. This is Apple Inc.

ADDITIONAL CONSIDERATIONS:

- ☐ Is the increase in assets and liabilities related to increase in revenues (and net income)? Consider the infrastructure required to sell more. For example, consider investments in new stores, additional servers to support Apple services, additional inventories required to support additional sales, etc. How are these financed? Increasingly by creditors.
- ☐ In 2016, Berkshire Hathaway started buying shares of Apple. By 2024, Berkshire Hathaway held more than 5% of all Apple shares outstanding.

**KEY CONCEPT:**

Vertical analysis shows financial statement information as a % of a key element such as total revenues or total assets.

KEY CONCEPT:

Net income as % of revenues is also called “net profit margin”. It is a key measure of profitability.

**EXERCISE 1.5: Company B (key balance sheet and income statement items)**

REFLECT: What is the “story” of Company B between 2011 and 2015? How would you evaluate the financial health and prospects for the company? Be concise.

COMPANY B (USD \$, in millions)					
Balance Sheet, as at:	Feb. 28, 2015	Mar. 01, 2014	Mar. 02, 2013	Mar. 03, 2012	Feb. 26, 2011
Assets	6,549	7,552	13,165	13,731	12,875
Liabilities	3,118	3,927	3,705	3,631	3,937
Equity = Assets – Liabilities	3,431	3,625	9,460	10,100	8,938
Total liabilities and equity	6,549	7,552	13,165	13,731	12,875
<i>Liabilities as % of assets</i>	48%	52%	28%	26%	31%
<i>Equity as % of assets</i>	52%	48%	72%	74%	69%

COMPANY B (USD \$, in millions)					
Income statements for fiscal years ended:	Feb. 28, 2015	Mar. 01, 2014	Mar. 02, 2013	Mar. 03, 2012	Feb. 26, 2011
Revenues	3,335	6,813	11,073	18,423	19,907
- Cost of sales	1,731	6,856	7,639	11,848	11,082
= Gross profit	1,604	(43)	3,434	6,575	8,825
- Other expenses, net	1,908	5,830	4,080	5,411	5,414
= Net income, or EARNINGS	(304)	(5,873)	(646)	1,164	3,411
<i>Gross profit as % of revenues</i>	48%	-1%	31%	36%	44%
<i>Net income as % of revenues</i>	-9%	-86%	-6%	6%	17%

CONSIDER THE FOLLOWING:

- ☐ Assets declined steadily, but liabilities didn't decline as quickly. As a result, more of the assets were financed by liabilities over time. Equity balance peaked in 2012 and continued to decrease since. There was a very significant drop in equity in 2014.
- ☐ Revenues (or “sales” or “top line”) decreased steadily and significantly. In fact, the company lost more than 80% of its revenues over the period of 5 years. This was a very negative trend. Remember, revenues = price x quantity. This shows that customers are not buying the products/services. It is a fundamental problem!
- ☐ Expenses decreased significantly but not as fast as revenues. As a result, the company recorded losses between 2013 and 2015. The losses in 2014 are staggering.

“STORY”:

- ☐ Company B appears to have been in significant decline. This is BlackBerry Inc.
- ☐ In 2010, Company B was a dominant force in the technology industry and a symbol of innovation, productivity, and security. It held the lead, with more than 40% market share. The company's products were widely adopted by corporate executives and government officials. Pivoting away from the phone business, BlackBerry shifted to cybersecurity and automotive software. BlackBerry's revenues fell sharply from their peak, and the company was unprofitable for years afterward — though more recent results suggest an operational turnaround may be underway (revenues were \$549 million in fiscal 2026).

ADDITIONAL CONSIDERATIONS:

- ☐ Is the decrease in assets and equity related to decreasing revenues and losses? As expenses exceed revenues, these expenses and real costs have to be “financed” from somewhere. In the end, it is the residual stake of shareholders that is being reduced (i.e., there is less left over for shareholders).

**EXERCISE 1.6: Company C (key balance sheet and income statement items)**

REFLECT: What is the “story” of Company C between 2011 and 2015? How would you evaluate the financial health and prospects for the company? Be concise.

COMPANY C (USD \$, in millions)					
Balance Sheet, as at:	Dec. 31, 2015	Dec. 31, 2014	Dec. 31, 2013	Dec. 31, 2012	Dec. 31, 2011
Assets	8,068	5,831	2,417	1,114	713
Liabilities	6,937	4,861	1,750	989	489
Equity = Assets – Liabilities	1,131	970	667	125	224
Total liabilities and equity	8,068	5,831	2,417	1,114	713
<i>Liabilities as % of assets</i>	86%	83%	72%	89%	69%
<i>Equity as % of assets</i>	14%	17%	28%	11%	31%

COMPANY C (USD \$, in millions)					
Income statements for fiscal years ended:	Dec. 31, 2015	Dec. 31, 2014	Dec. 31, 2013	Dec. 31, 2012	Dec. 31, 2011
Revenues	4,046	3,198	2,013	413	204
- Cost of sales	3,123	2,317	1,557	383	143
= Gross profit	923	881	456	30	61
- Other expenses, net	1,812	1,175	530	426	315
= Net income, or EARNINGS	(889)	(294)	(74)	(396)	(254)
<i>Gross profit as % of revenues</i>	23%	28%	23%	7%	30%
<i>Net income as % of revenues</i>	-22%	-9%	-4%	-96%	-125%

CONSIDER THE FOLLOWING:

- ☐ Like Company B (BlackBerry), Company C (Tesla Inc.) was also consistently reporting losses during this period but notice the key difference – company revenues and assets were also growing consistently.

“STORY”:

- ☐ Tesla was a very young company during this time. Assets were growing as the company was building out its infrastructure (factories, etc.). As they started producing electric cars, they were able to sell more and more of them. This is not uncommon for early-stage companies, as economies of scale may be required to reach profitability.

ADDITIONAL CONSIDERATIONS:

- ☐ Think about how these losses are being financed (i.e., as expenses exceed revenues, these expenses and real costs have to be paid, and money has to come from somewhere). In the case of Tesla (unlike BlackBerry), the company appears to be able to raise additional financing from both liabilities and equity. This shows support from both creditors and shareholders.

EXERCISE 1.7: Use of financial information by shareholders

Shareholders utilize different approaches to value companies. In an [interview by David Rubenstein \(Carlyle Group\)](#), Warren Buffett (Chairman and CEO of [Berkshire Hathaway](#)) stated “investing is just about assigning yourself the right story”.

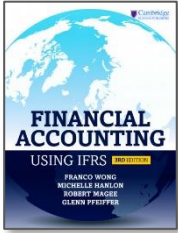


REFLECT: How does Warren Buffett describe the role of financial information in his investment approach?

“Investing is just about assigning
yourself the **right story**.”



- ☐ Notice the focus on using annual reports as a source of information. Public companies must regularly report their financial health. While a glossy Annual Report is a flexible publication built for shareholders, companies must also file their financials with regulators. In the U.S., the official annual filing is called the Form 10-K (while quarterly filings are known as 10-Q).
- ☐ Notice the emphasis on identifying the economically important drivers rather than false precision in long-range valuation. Of course, accounting calculations and source data must still be accurate.
- ☐ Notice also the “narrative” focus of contextualizing the data and thinking about the future.
- ☐ But consider: “How do we know what the “right story” is? At least, how do we know this ahead of time?”



Chapter 1 | LO 1

Identify the users of accounting information and discuss the costs and benefits of disclosure. (pp. 4-7)

Accounting is the process of recording, summarizing, and analysing financial transactions. It provides essential information for decision-makers. There are two main types of accounting:

- ❑ **Financial accounting** focuses on external reporting, providing information to shareholders (investors), creditors, and others. It includes financial statements based on accounting standards.
- ❑ **Managerial accounting** is geared towards internal decision-making. It provides company management with tools like budgeting, forecasting, and cost analysis. Unlike financial accounting, managerial accounting is not bound by external standards and is more flexible, designed to assist in planning, controlling, and making strategic decisions within the organization.

External users of financial accounting information:

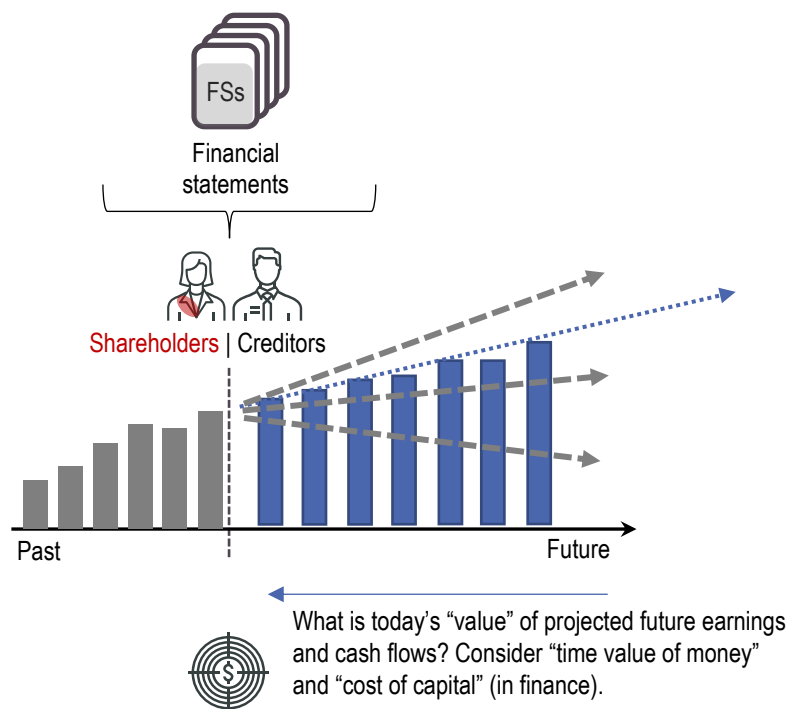
- ❑ **Common shareholders** generally have the following rights associated with their share (equity) investments:
 - 1) voting rights used to elect the Board of Directors and vote on major decisions;
 - 2) rights to receive dividends (if they are declared); and,
 - 3) residual claim on the assets of the company in case of liquidation (i.e., if the company cannot continue to operate).
- ❑ **Creditors** generally have priority rights in case of company liquidation. They often add "covenants" (restrictions) to further protect their rights to collect principal and interest.
- ❑ **Notice the potential conflicts of interest** between shareholders (generally higher risk) and creditors (generally more risk-averse).



EXERCISE 2.1: Users of financial statements

REFLECT: How might shareholders use financial statements? What if they didn't have such information?

- ❑ Without access to transparent financial reporting, the risk to external users would be higher. After all, it would be harder to assess financial performance and health of the company.
- ❑ As a result, the company may struggle to attract investment or secure loans.



VALUE & TERMS



EXERCISE 2.2: Context of financial reporting

REFLECT: Who are the main users of financial reporting and how do they use this information?

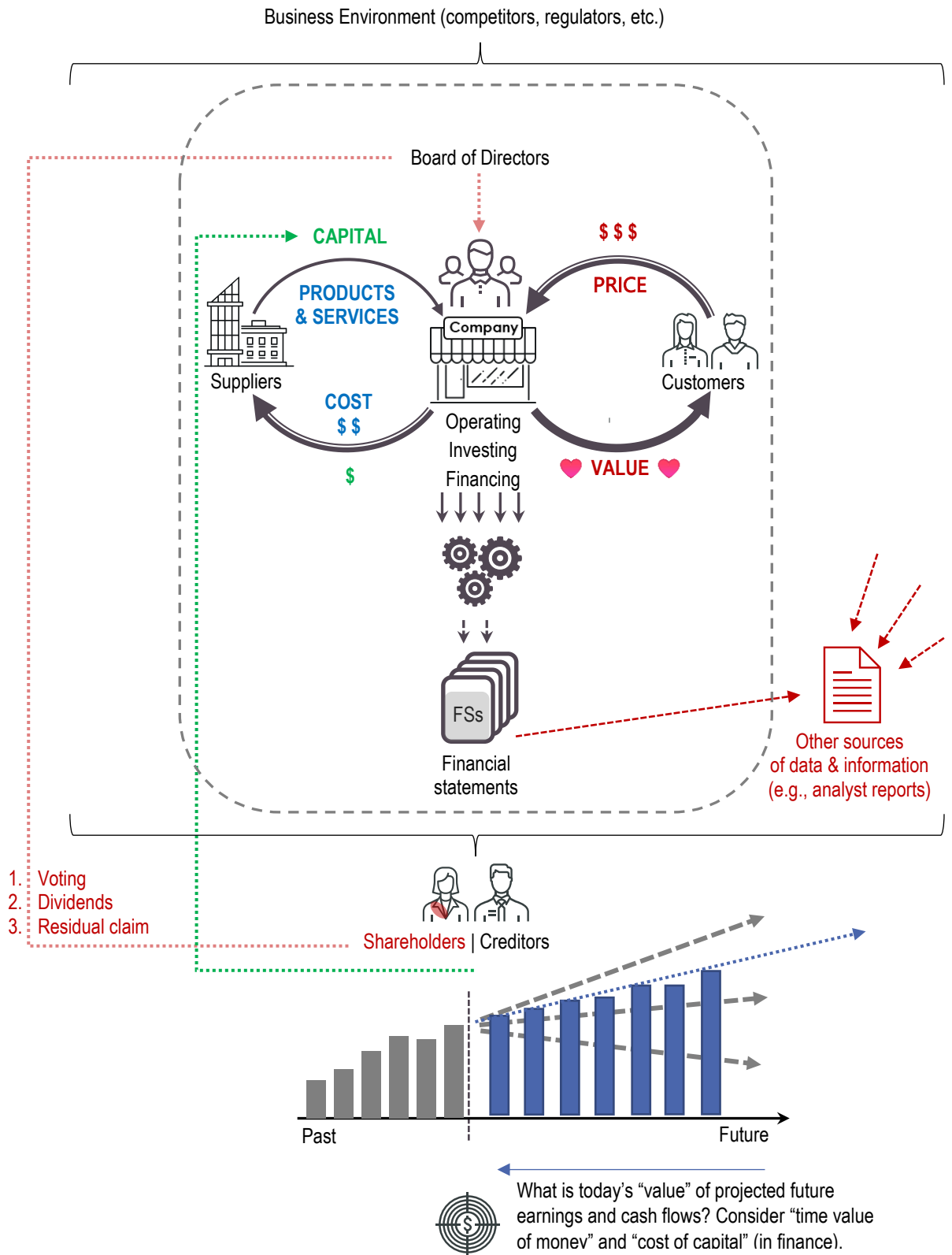
Financial statement analysis – four lenses:

1. STRATEGIC
Identify profit potential & business risks

2. ACCOUNTING
Evaluate quality and adjust / normalize for analysis

3. FINANCIAL
Evaluate performance, risk, & sustainability

4. PROSPECTIVE
Forecast & value



VALUE & TERMS

EXERCISE 2.3: Performance metrics matter!

On August 29, 2016, Elon Musk (Tesla's CEO) sent an email to Tesla's employees (reported by [Bloomberg on September 16, 2016](#), and included below). At the end of 2020, Elon Musk also tweeted about these difficult times and an attempt to "discuss the possibility of Apple acquiring Tesla" (below).

REFLECT: What are your key insights and take-aways?

SUBJECT: Third Quarter Rally!

I thought it was important to write you a note directly to let you know how critical this quarter is. The third quarter will be our last chance to show investors that Tesla can be at least slightly positive cash flow and profitable before the Model 3 reaches full production. Once we get to Q4, Model 3 capital expenditures force us into a negative position until Model 3 reaches full production. That won't be until late next year.

We are on the razor's edge of achieving a good Q3, but it requires building and delivering every car we possibly can, while simultaneously trimming any cost that isn't critical, at least for the next 4.5 weeks. Right now, we are tracking to be a few percentage points negative on cash flow and GAAP profitability, but this is a small number, so I'm confident that we can rally hard and push the results into positive territory. It would be awesome to throw a pie in the face of all the naysayers on Wall Street who keep insisting that Tesla will always be a money-loser!

Even more important, we will need to raise additional cash in Q4 to complete the Model 3 vehicle factory and the Gigafactory. The simple reality of it is that we will be in a far better position to convince potential investors to bet on us if the headline is not "Tesla Loses Money Again", but rather "Tesla Defies All Expectations and Achieves Profitability". That would be amazing!

*Thanks for all your effort. Looking forward to celebrating with you,
Elon*



Elon Musk  @elonmusk · Dec 22, 2020

During the darkest days of the Model 3 program, I reached out to Tim Cook to discuss the possibility of Apple acquiring Tesla (for 1/10 of our current value). He refused to take the meeting.



3.7K



14.4K



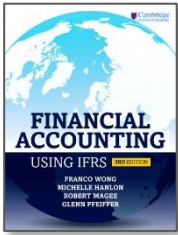
65K



Consider the following points:

- ☐ As the CEO, Elon Musk is tracking cash flows and "GAAP profitability" (profitability in accordance with accounting standards – "GAAP" stands for "generally accepted accounting principles"). He is proactively monitoring this in advance (i.e., emphasis on next 4.5 weeks).
- ☐ There is a clear sense that these financial metrics matter to shareholders, and it will be easier to convince investors if financials show progress and profitability.

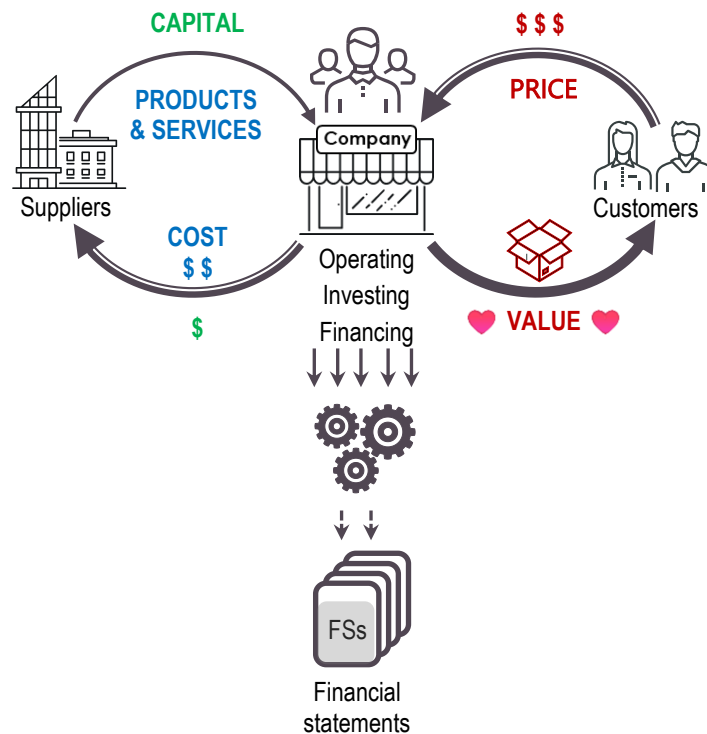
#3 | Operating, investing, and financing activities are core to all organizations



Chapter 1 | LO 2

Describe a company's business activities and explain how these activities are represented by the accounting equation. (pp. 7-11)

- ☐ **Planning activities:** setting goals and developing strategies to achieve those goals.
- ☐ **Operating activities:** core, day-to-day activities including buying and selling products/services.
- ☐ **Investing activities:** include buying and selling long-lived operating assets that support operations, as well as buying and selling financial assets that generate additional returns.
- ☐ **Financing activities:** include borrowing and repaying principal, issuing or repurchasing shares, and paying dividends.



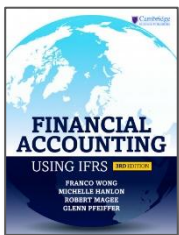
EXERCISE 3: Business activities (Apple)

REFLECT: Refer to Apple's transaction during the 2025 fiscal year (ending September 27, 2025) below. Identify the business activity associated with each set of transactions.



Description	Operating	Investing	Financing
Apple Inc. reported about \$416 billion in sales.			
Apple Inc. received about \$4.5 billion (cash) as a result of issuing long-term debt (i.e., borrowing money and committing to repay it over many years).			
Apple Inc. repaid \$10.9 billion of debt (amounts due to creditors in fiscal 2025)			
Apple Inc. paid \$12.7 billion to acquire land, buildings, and equipment.			

#4 | Financial statements are interconnected



Chapter 1 | LO 3

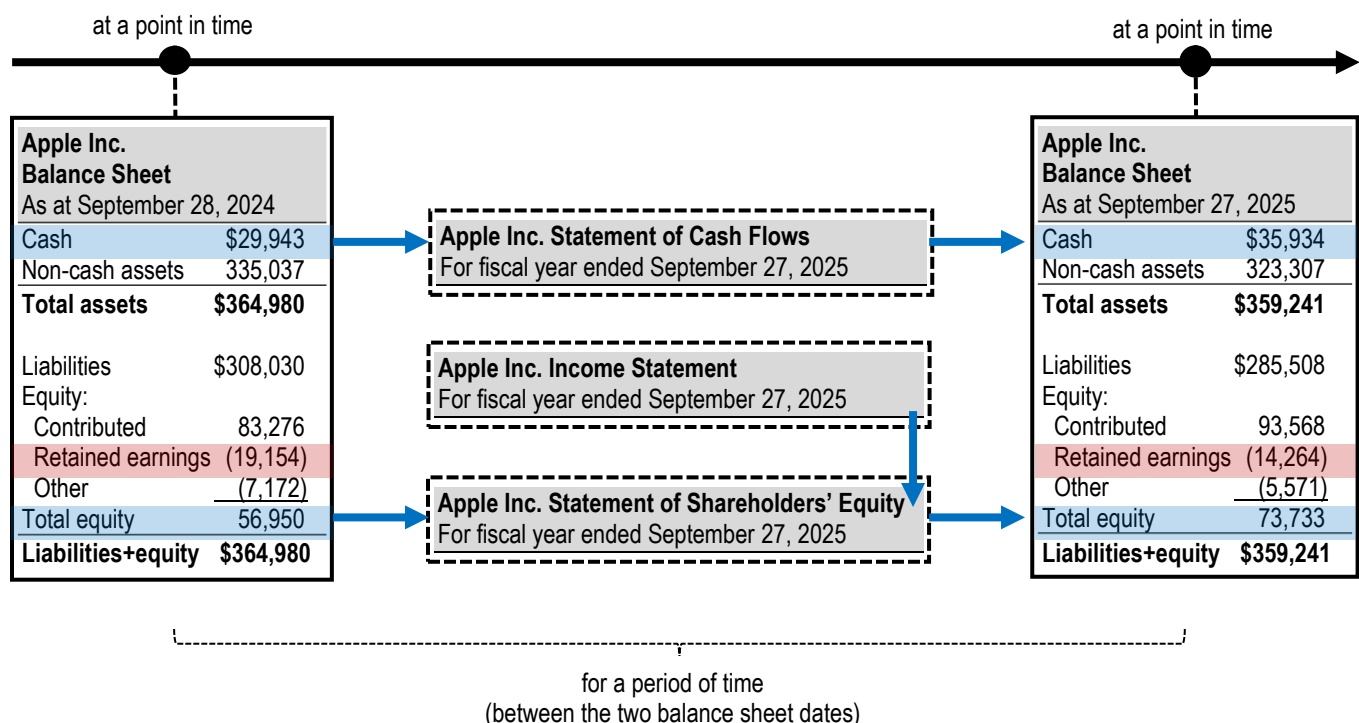
Introduce the four key financial statements including the balance sheet, income statement, statement of changes in equity, and statement of cash flows. (pp. 11-17)

- ❑ **Balance sheet** (or the statement of financial position) is the **anchoring statement**; it reports the financial position at a point in time. All other financial statements explain changes in some part of the balance sheet.
- ❑ **Income statement** (or the statement of earnings/operations or statement of profit and loss) reports financial performance and earnings (i.e., net profit or net income). It **explains some of the changes in equity** ("earned equity", and "retained earnings" in particular).
- ❑ **Statement of changes in equity** explains changes in various components of equity (contributed and earned)
- ❑ **Statement of cash flows** reports sources (inflows) and uses (outflows) of cash over the period. It is organized around 3 core business activities: operating, investing, and financing.



EXERCISE 4.1: Connecting financial statements – balance sheet is the “anchor”

REFLECT: Refer to the condensed financial statements of Apple Inc. below. “Connect the dots” to show the relationships between the four basic financial statements.

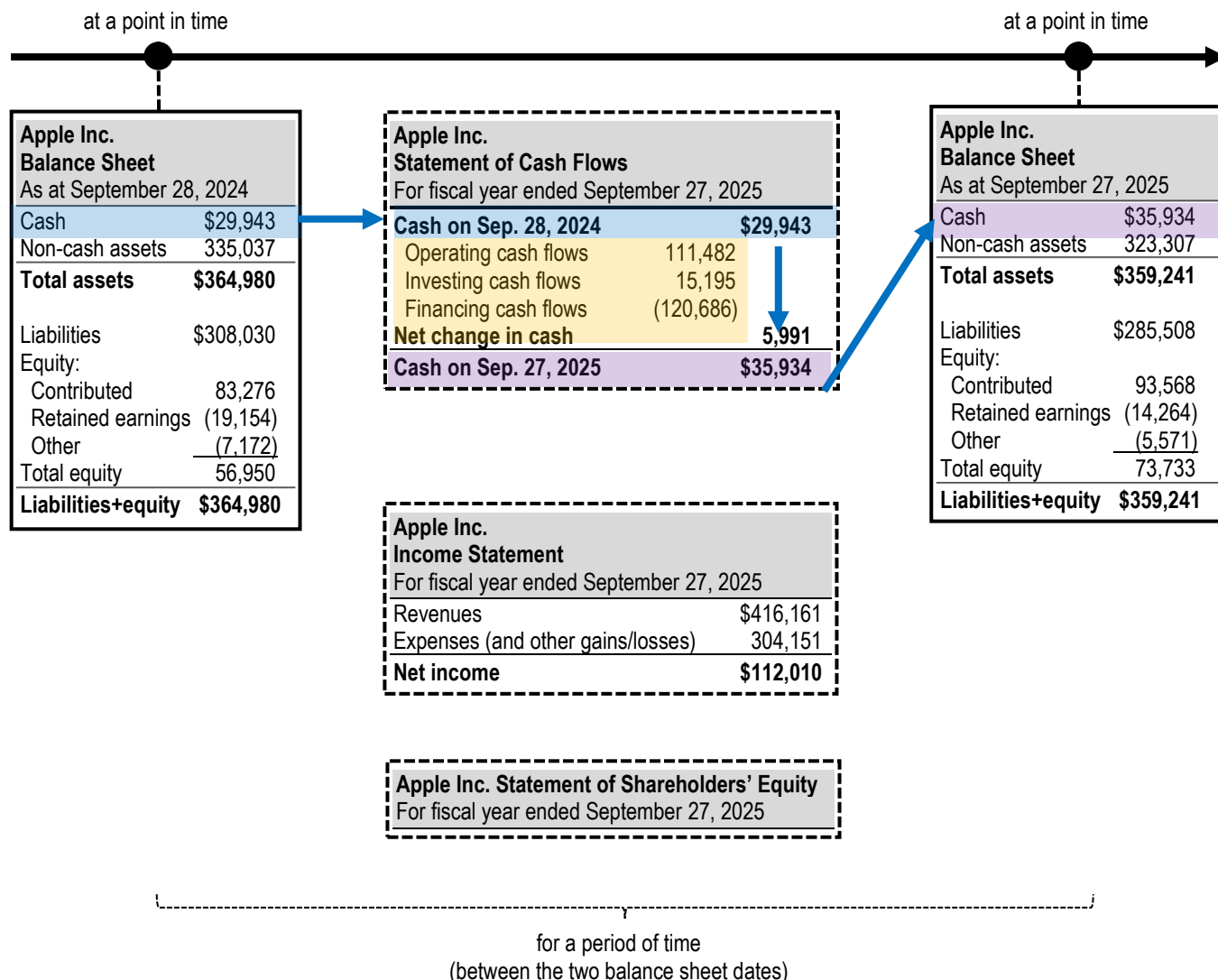


Statement of cash flows reports sources (inflows) and uses (outflows) of cash



EXERCISE 4.2: Connecting financial statements – cash flow statement

REFLECT: Refer to the condensed financial statements of Apple Inc. below. “Connect the dots” to show the relationships between the four basic financial statements.

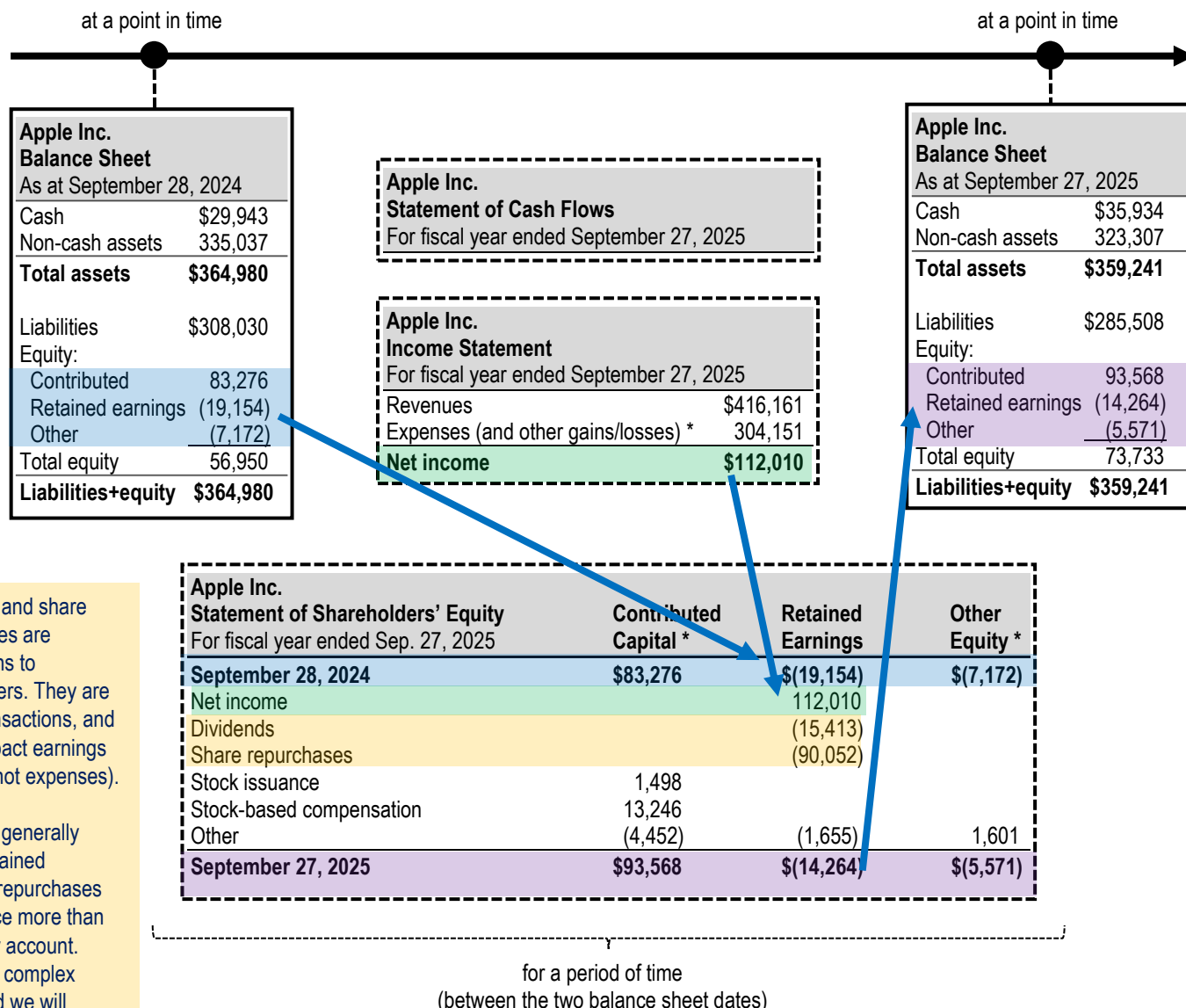


Statement of changes in equity connects the balance sheet and the income statement



EXERCISE 1.4c: Connecting financial statements – statement of changes in equity

REFLECT: Refer to the condensed financial statements of Apple Inc. below. “Connect the dots” to show the relationships between the four basic financial statements.

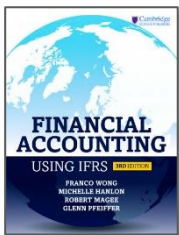


Dividends and share repurchases are distributions to shareholders. They are equity transactions, and do not impact earnings (they are not expenses).

Dividends generally reduce retained earnings; repurchases may reduce more than one equity account. These are complex topics, and we will discuss the basics later in the course.

Note: * Condensed from multiple reported line items; amounts are combined for instructional purposes.

#5 | Two key performance measures are Return on Equity (ROE) and Debt-to-Equity



Chapter 1 | LO 5

Compute two key ratios that are commonly used to assess profitability and risk - return on equity and the debt-to-equity ratio. (pp. 20-24)

- ☐ Return on Equity (ROE) = net income / average total equity
- ☐ Debt-to-Equity = total liabilities / total equity



EXERCISE 5: Understanding profitability and risk

REFLECT: Critically evaluate the Return on Equity (ROE) and Debt-to-Equity ratios. What are some of your insights? How are these two ratios related?

Evaluating the returns on equity

Return on equity (ROE)

= net income / average total equity

	2025	2024	2023
TSLA	4.9%	10.4%	27.4%
AAPL	171.4%	157.4%	172.0%

$$\frac{\text{Net income}}{\text{Average total equity}} = \frac{\$112,010}{(73,733 + 56,950) \div 2} = 171.4\%$$

- ☐ This ratio helps us understand the effectiveness of using shareholders' equity to generate profits. For example, for every dollar of average total equity, Apple was able to "return" (generate) \$1.71 in earnings in fiscal 2025, and \$1.57 in fiscal 2024.
- ☐ Notice that Tesla's ROE was positive but declining significantly between 2023 and 2025.
- ☐ We will discuss this in future classes (especially in the class on financial statement analysis and ratios).

Evaluating risk

Debt-to-Equity

= total liabilities / total equity

	2025	2024	2023
TSLA	0.66	0.66	0.68
AAPL	3.87	5.41	4.67

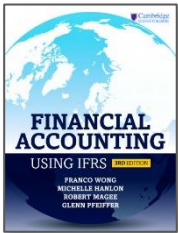
$$\frac{\text{Total liabilities}}{\text{Total equity}} = \frac{\$285,508}{73,733} = 3.87$$

- ☐ This ratio helps us understand the proportion of financing coming from creditors (liabilities) versus shareholders (equity).
- ☐ Higher "debt-to-equity" often means that more debt is used. If the company can generate returns that exceed interest costs (i.e., cost of debt), then it could use debt as "leverage" to improve the ROE (we will discuss this in a future class).
- ☐ However, higher debt also means higher risk – especially in the context of economic downturns and rising interest rates. Tesla's "leverage" (or reliance on creditor financing) is significantly lower than Apple's.
- ☐ We will discuss this topic further in future classes (especially in the class on financial statement analysis and ratios). In addition, the key issue of "how much debt versus equity" should a company have, will be discussed in finance courses.



FOR NEXT CLASS: THE “STORY” OF APPLE INC.

KEY POINT | Common-size analysis helps us see patterns in financial statements



Chapter 12 | LO 1

Prepare and analyse common-size financial statements. (pp. 545-550)

- ❑ **Common-size analysis** is a technique used in financial statement analysis where each line item in a financial statement is expressed as a percentage of a base figure. This method allows for easy comparison across different periods and between companies of varying sizes by standardizing the financial data.
- ❑ **Vertical analysis:** provides a way to understand the relative significance of each item in a financial statement.
 - ❑ **Income statement:** each line item is generally represented as a % of net sales (revenues)
 - ❑ **Balance sheet:** each line item is generally presented as a % of total assets
- ❑ **Horizontal analysis:** involves comparing financial data across multiple periods to identify trends and growth patterns. This method highlights changes in financial statement items over time by showing the dollar and percentage increase or decrease from one period to the next.



EXERCISE A1: Income statements

REFLECT: Analyze the income statements (below). How would you describe the “story” of Apple over the past few years? Use both horizontal and vertical analysis to evaluate the changes in the following four areas: 1) revenues/sales, 2) gross profit (labeled “gross margin” by Apple), 3) operating income, and 4) net income.

This exercise is preparation for next class, and we will discuss it together.



KEY CONCEPT: Horizontal analysis shows the change in each line. For example, we can calculate the total net sales increase in 2025 as follows:

$$= (\text{Net sales 2025} - \text{Net sales 2024}) / \text{Net sales 2024}$$

$$= (\$416,161 - \$391,035) / \$391,035 = 6.4\%$$

KEY CONCEPT: Vertical analysis shows financial statement information as a % of a key element such as total revenues or total assets. For example, we can calculate product sales as % of total revenues in 2025 as follows:

$$= \text{Products net sales in 2025} / \text{Total net sales in 2025}$$

$$= \$307,003 / \$416,161 = 73.8\%$$

(USD \$, in millions) Income Statement, for fiscal years ended:	Sep. 27, 2025	Sep. 28, 2024	Sep. 30, 2023	Sep. 24, 2022
Net sales:				
Products	307,003	294,866	298,085	316,199
Services	109,158	96,169	85,200	78,129
Total net sales	416,161	391,035	383,285	394,328
Cost of sales:				
Products	194,116	185,233	189,282	201,471
Services	26,844	25,119	24,855	22,075
Total cost of sales	220,960	210,352	214,137	223,546
Gross margin	195,201	180,683	169,148	170,782
Operating expenses:				
Research and development	34,550	31,370	29,915	26,251
Selling, general and administrative	27,601	26,097	24,932	25,094
Total operating expenses	62,151	57,467	54,847	51,345
Operating income	133,050	123,216	114,301	119,437
Other income and expense	(321)	269	(565)	(334)
Income before provision for income taxes	132,729	123,485	113,736	119,103
Provision for income taxes	20,719	29,749	16,741	19,300
Net income	112,010	93,736	96,995	99,803

FY2025 %change	FY2024 %change
4.1%	-1.1%
13.5%	12.9%
6.4%	2.0%
4.8%	-2.1%
6.9%	1.1%
5.0%	-1.8%
8.0%	6.8%
10.1%	4.9%
5.8%	4.7%
8.2%	4.8%
8.0%	7.8%
-219.3%	-147.6%
7.5%	8.6%
-30.4%	77.7%
19.5%	-3.4%

FY2025 %of sales	FY2024 %of sales
73.8%	75.4%
26.2%	24.6%
100.0%	100.0%
46.6%	47.4%
6.5%	6.4%
53.1%	53.8%
46.9%	46.2%
8.3%	8.0%
6.6%	6.7%
14.9%	14.7%
32.0%	31.5%
-0.1%	0.1%
31.9%	31.6%
5.0%	7.6%
26.9%	24.0%



EXERCISE A2: Balance sheets

REFLECT: Analyze Apple's balance sheets (below). Use both horizontal and vertical analysis to evaluate the main assets and liabilities on the balance sheet, and how they are changing. Does the balance sheet "balance", and why?

This exercise is preparation for next class, and we will discuss it together.

(USD \$, in millions) Balance Sheet, as at:	Sep. 27, 2025	Sep. 28, 2024	Sep. 30, 2023	Sep. 24, 2022	FY2025 %change	FY2024 %change	FY2025 %of assets	FY2024 %of assets
ASSETS:								
Current assets:								
Cash and cash equivalents	35,934	29,943	29,965	23,646	20.0%	-0.1%	10.0%	8.2%
Short-term marketable securities	18,763	35,228	31,590	24,658	-46.7%	11.5%	5.2%	9.7%
Accounts receivable, net	39,777	33,410	29,508	28,184	19.1%	13.2%	11.1%	9.2%
Inventories	5,718	7,286	6,331	4,946	-21.5%	15.1%	1.6%	2.0%
Vendor non-trade receivables	33,180	32,833	31,477	32,748	1.1%	4.3%	9.2%	9.0%
Other current assets	14,585	14,287	14,695	21,223	2.1%	-2.8%	4.1%	3.9%
Total current assets	147,957	152,987	143,566	135,405	-3.3%	6.6%	41.2%	41.9%
Non-current assets:								
Long-term marketable securities	77,723	91,479	100,544	120,805	-15.0%	-9.0%	21.6%	25.1%
Property, plant and equipment, net	49,834	45,680	43,715	42,117	9.1%	4.5%	13.9%	12.5%
Other non-current assets	83,727	74,834	64,758	54,428	11.9%	15.6%	23.3%	20.5%
Total non-current assets	211,284	211,993	209,017	217,350	-0.3%	1.4%	58.8%	58.1%
TOTAL ASSETS	359,241	364,980	352,583	352,755	-1.6%	3.5%	100.0%	100.0%
LIABILITIES AND SHAREHOLDERS' EQUITY:								
Current liabilities:								
Accounts payable	69,860	68,960	62,611	64,115	1.3%	10.1%	19.4%	18.9%
Other current liabilities	66,387	78,304	58,829	60,845	-15.2%	33.1%	18.5%	21.5%
Deferred revenue	9,055	8,249	8,061	7,912	9.8%	2.3%	2.5%	2.3%
Commercial paper	7,979	9,967	5,985	9,982	-19.9%	66.5%	2.2%	2.7%
Term debt	12,350	10,912	9,822	11,128	13.2%	11.1%	3.4%	3.0%
Total current liabilities	165,631	176,392	145,308	153,982	-6.1%	21.4%	46.1%	48.3%
Non-current liabilities:								
Term debt	78,328	85,750	95,281	98,959	-8.7%	-10.0%	21.8%	23.5%
Other non-current liabilities	41,549	45,888	49,848	49,142	-9.5%	-7.9%	11.6%	12.6%
Total non-current liabilities	119,877	131,638	145,129	148,101	-8.9%	-9.3%	33.4%	36.1%
Total liabilities	285,508	308,030	290,437	302,083	-7.3%	6.1%	79.5%	84.4%
Shareholders' equity:								
Common stock	93,568	83,276	73,812	64,849	12.4%	12.8%	26.0%	22.8%
Retained earnings (accumulated deficit)	(14,264)	(19,154)	(214)	(3,068)	-25.5%	8850.5%	-4.0%	-5.2%
Accumulated OCI/(loss)	(5,571)	(7,172)	(11,452)	(11,109)	-22.3%	-37.4%	-1.6%	-2.0%
Total shareholders' equity	73,733	56,950	62,146	50,672	29.5%	-8.4%	20.5%	15.6%
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	359,241	364,980	352,583	352,755	-1.6%	3.5%	100.0%	100.0%

BONUS: THE “RIGHT STORY” OF TESLA INC.

EXERCISE: The “right story” of Tesla Inc.

Berkshire Hathaway was an early [investor in electric vehicles](#). The company purchased approximately 10% stake in Chinese EV maker [BYD](#) (“Build Your Dreams” company) in 2008 (a position that grew to just over 20% of BYD’s Hong Kong-listed shares by 2022, before Berkshire sold all remaining shares in 2025). As a result, Warren Buffett was often asked about [Tesla Inc.](#) In a 2018 [interview with Fox Business](#), Buffett noted that investing in Tesla would be “a very poor idea”. Around the same time, there were different views.



REFLECT: Consider the “stories” (reasoning) presented below to support these different positions. Reflect, and note your insights. How do these “stories” translate to numbers and the “value” of Tesla?

Warren Buffett (Berkshire Hathaway)	Chamath Palihapitiya (Social Capital)	Cathie Wood (ARK Invest)
 ☐ Investing in Tesla would be a “very poor idea” ☐ “You’ve got a dozen big companies out there with resources – they’re going to keep coming. They copy what you do.” ☐ “It does not give you a permanent advantage”	 ☐ “Tens of thousands of consumers are buying that car faster than they can get their hands on it.” ☐ “The minute you sit in that car, the definition of what is expected is altered forever.” ☐ “It tends to be the case that when you redefine expectations, and you have a category leader, and you have an indelible brand, and a mark that people recognize, the easiest decision... is to pick the winner and go with it. And in this case, there is a clear winner in electrification!”	 ☐ “Analysts following this stock don’t know how to analyze it.” ☐ “This company is robotics, energy storage, artificial intelligence, transportation as a service...” ☐ “There is an amazing inefficiency in this stock. It is our highest conviction for a reason.”

NOTES AND REFLECTIONS

Most important ideas/points:

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